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What's News

Business & Finance

- ◆ **A new lawsuit against** Bank of America over its ties to Jeffrey Epstein accuses the bank of maintaining a relationship with the convicted sex offender and failing to report suspicious activities until after his death. **B1**
- ◆ **Banks including JPMorgan, Bank of America and Goldman Sachs** reported third-quarter earnings and revenue that outpaced analysts' expectations. **B1**
- ◆ **The Nasdaq and the S&P 500** advanced 0.7% and 0.4%, respectively, while the Dow lost 17 points. **B11**
- ◆ **Blackstone is launching** a business unit devoted to tapping the market for what are called defined-contribution retirement plans. **B1**
- ◆ **Walmart is forming** a partnership with OpenAI to let shoppers buy its products directly within ChatGPT, the AI chatbot. **B1**
- ◆ **BlackRock's new AI** infrastructure consortium has struck its first deal, agreeing to acquire Aligned Data Centers from Macquarie Asset Management. **B1**
- ◆ **ASML posted** better-than-expected orders of its chip-making equipment for the third quarter. **B4**
- ◆ **S&P Global struck** a deal to buy markets data and analytics firm With Intelligence for \$1.8 billion, expanding its data coverage and reach across private markets. **B11**
- ◆ **Oracle's new dual CEOs** defended the company's new investment in data centers, saying it will offer computing firepower and a suite of bundled services that will make AI useful for businesses. **B10**

World-Wide

- ◆ **The Trump administration** is preparing sweeping changes at the IRS that would allow it to pursue criminal inquiries of left-leaning groups more easily. **A1**
- ◆ **The Supreme Court** signaled an openness to scaling back protections against racial discrimination in redistricting, in a case that could further weaken a landmark voting-rights law. **A1**
- ◆ **A federal judge** temporarily blocked the Trump administration from moving ahead with mass firings of federal employees while the government is shut down. **A2**
- ◆ **Israel and Hamas** began negotiating the second phase of a plan outlined by President Trump to end the war in Gaza, as debates continued about the militant group's failure to return all the bodies of dead hostages. **A6**
- ◆ **Governors across 15** states including New York, California and North Carolina are forming a public-health alliance to detect and respond to disease threats. **A5**
- ◆ **Trump has authorized** the CIA to conduct covert action in Venezuela, while also floating the idea of land strikes, in a campaign against alleged drug trafficking. **A7**
- ◆ **The Trump administration** is assembling a \$20 billion private finance facility that could act as a backstop for Argentina's debt. **A7**
- ◆ **U.S. officials say** criminal organizations operating out of China have used scam text messages to make more than \$1 billion over the last three years. **A3**

CONTENTS	Markets Digest.....	B7
Arts in Review.....	Opinion.....	A13-15
Business & Finance B2-310	Personal Journal A9-10	
Crossword.....	Sports.....	A12
From Page One.....	Technology.....	B4
Heard on Street.....	U.S. News.....	A2-5
Markets.....	World News.....	A6-8



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Israelis Bury a Hostage as Pace of Handover Stalls



CHRIS MCGRATH/GETTY IMAGES

MOURNERS: A funeral is held in Israel Wednesday for Guy Ilouz, a hostage whose body was returned by Hamas under the cease-fire deal. The militants have handed over the bodies of nine of the 28 dead hostages, and mediators are seeking the release of more. **A6**

Trump Team to Overhaul IRS To Probe Left-Leaning Groups

Effort would install ally at criminal unit who has made list of targets to investigate

The Trump administration is preparing sweeping changes at the Internal Revenue Service that would allow the

By **Brian Schwartz, Richard Rubin and Joel Schectman**

agency to pursue criminal inquiries of left-leaning groups more easily, people familiar with the matter said. A senior IRS official in-

involved in the effort has drawn up a list of potential targets that includes major Democratic donors, some of the people said.

The undertaking aims to install allies of President Trump at the IRS criminal investigative division, or IRS-CI, to exert firmer control over the unit and weaken the involvement of IRS lawyers in criminal probes, officials said. The proposed changes could open the door to politically motivated probes and are being driven by Gary Shapley, an adviser to Treasury Secretary Scott Bessent.

Shapley has told people he is going to replace Guy Ficco, the chief of the investigative

unit, and Shapley has been putting together a list of donors and groups he believes IRS investigators should probe. Among those on the list are billionaire Democratic donor George Soros and his affiliated groups, a senior IRS official and another person briefed on the list said. It isn't clear upon what grounds Shapley would seek to begin such an investigation.

The effort within the IRS coincides with a larger administration effort to probe left-leaning groups for helping finance organizations the president says are creating anarchy in Democratic-led cities across the country. Trump, a Republican,

has directed Bessent, who is also acting IRS commissioner, to identify financial networks the president says are fomenting political violence. Democrats said the effort is politically motivated and not based on real evidence.

"Scott will do that. That's easy for Scott," Trump said about Bessent helping with the investigation during a recent cabinet meeting.

Shapley and a Treasury Department spokesperson didn't answer questions about changes to the IRS criminal unit or desired targets. "I'm grateful to continue in my role in reforming the IRS," Shapley said.

Please turn to page A4

U.S. Banks Score Big Helping China Firms Go Global

By **RORY JONES**

HONG KONG—Chinese companies are pushing across the globe to conquer new markets, and U.S. financiers are making a mint by helping them.

The unlikely U.S.-China collaboration during heightened trade and military tensions between the two superpowers is raising concerns on Capitol Hill about national-security risks. But it is producing frothy markets in Hong Kong, the place where Wall Street and China Inc. meet for mutual profit.

Hong Kong's stock exchange is the hottest globally this year for new listings. Companies have raised \$23 billion as of September in stock offerings, a bright note for a city otherwise in the news for a Beijing-led national-security crackdown and arrests of government critics.

In September, Morgan Stanley led the \$3.2 billion Hong Kong initial public offering of Chinese mining company Zijin's international gold-mining unit. BlackRock's funds acted as an early investor underpinning the deal, which raised funds for the unit to buy a gold mine in Kazakhstan. "This is truly a spectacular year," said Robert Chan, who helps lead the execution of equity deals at Citigroup in the Asia-Pacific region.

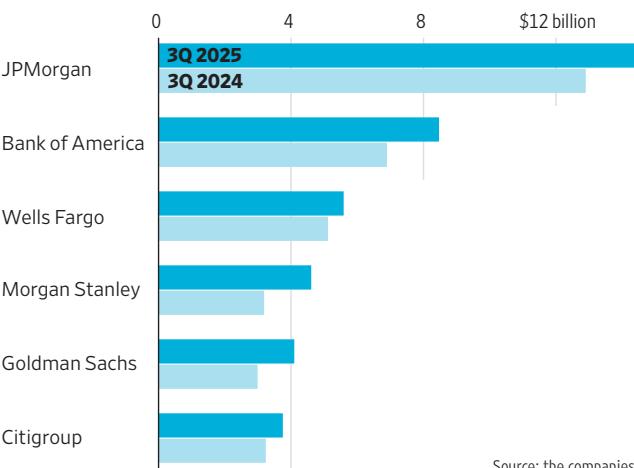
The world's biggest battery maker, China-based Contemporary Amperex Technology, raised \$5.3 billion in Hong

Please turn to page A8

Economy Shines for Lenders

Several banks reported third-quarter profit and revenue that beat analysts' expectations, buoyed by a jump in dealmaking, corporate spending and healthy consumer activity. **B1**

Quarterly profit for the six biggest banks



America's Favorite Apple Is a Farmer's Nightmare

The Honeycrisp transformed the industry, but growers say she's 'an absolute diva'

By **AMIRA MCKEE**

It was a sound before it was a taste: a sharp, explosive crunch. When David Bedford took his first bite of the mystery apple in 1988, he knew he'd found gold.

That syrupy-sweet and shockingly crisp fruit came from an unremarkable sapling that Bedford, then a graduate student, had rescued from the discard pile of a University of Minnesota breeding program. But the apple had problems. It was too big, too fragile and a magnet for disease. The farmers who sampled it

were quick to dismiss the finicky tree.

"They said 'Oh, it's a nightmare, we'll never grow that,'" Bedford recalled with a chuckle.

Thirty years later, that apple—now named Honeycrisp—dominates the American market.

Consumers, bored by the softer, blander Red Delicious variety that had ruled grocery aisles for decades, discovered an apple that was sweet and so texturally satisfying they never looked back. Buyers could even stomach a premium price, often three times

Please turn to page A8

How Jefferies Found Itself at Center of First Brands Collapse

By **ALEXANDER GLADSTONE AND LAUREN THOMAS**

The sudden collapse of auto-parts giant First Brands Group has left Wall Street firms sorting through the wreckage. Few are facing more questions than Jefferies Financial Group, a supporting player in the finance world that now finds itself in the harsh spotlight of an accounting scandal.

The firm played key roles with First Brands through its investment banking and asset-management divisions. First Brands sells billions of dollars of parts annually to customers such as Walmart.

The Cleveland, Ohio, company filed for bankruptcy late last month after the market lost confidence in its financial

disclosures and use of off-balance-sheet debt. First Brands acknowledged that more than \$2 billion of investors' money is unaccounted for, its intensely private Chief Executive Patrick James resigned and the Justice Department is conducting a probe.

First Brands' rapid unraveling has raised questions about who could have seen it coming. Jefferies worked with First Brands for several years without issues when its bankers set out to help the company refinance corporate loans over the summer. Jefferies initially told prospective lenders that First Brands had about \$5.9 billion of debt, according to materials viewed by The Wall Street Journal. First Brands' bankruptcy ad-

Please turn to page A4

INSIDE



PERSONAL JOURNAL Big changes are coming for 2026 Medicare plans. Here's what you need to know. **A9**



BUSINESS & FINANCE Walmart soon will let you buy on ChatGPT—and online shopping will never be the same. **B1**

DAVID PAUL MORRIS/BLUMBERG NEWS